

Q1 2025

Custom Managed Portfolios

Guardian Global Equity (RI)

Quick facts

Asset class:

Global Large Cap

Management style:

GARP¹

Number of holdings:

40

Sub-advisor:

Guardian Capital

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

January 01, 2008



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities. Guardian Capital adheres to strict Socially Responsible Investing (SRI) principles when it selects securities for this mandate.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	-0.1%	-0.1%	15.2%	13.5%	16.1%	11.0%	8.8%
Benchmark ⁵	-1.7%	-1.7%	13.8%	13.1%	16.7%	11.3%	9.8%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	26.3%	19.2%	-10.9%	31.9%	8.0%	21.5%	0.9%
Benchmark ⁵	29.4%	21.0%	-11.7%	21.3%	13.3%	21.9%	0.1%
Standard deviation	7.7%	Sortino ratio		1.46	Downside capture		87.2%
Sharpe ratio	0.93	Beta (Equity)		0.88	Upside capture		86.7%

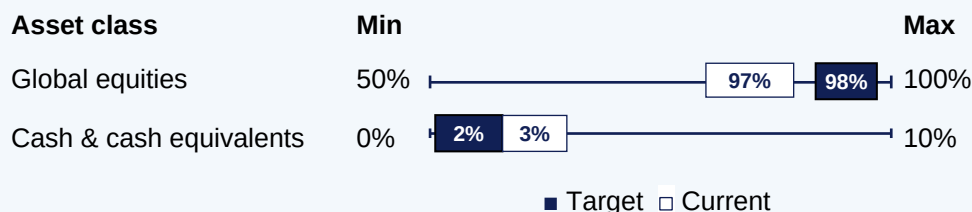
Largest holdings

1. APPLE INC	6.0%	6. AXA S/ADR	4.3%
2. COSTCO WHOLESALE CORP	6.0%	7. ALLIANZ SE UNSPONSORED ADR	4.1%
3. MICROSOFT CORP	5.2%	8. ROYAL BANK OF CDA	3.3%
4. WILLIAMS COS INC	4.9%	9. REPUBLIC SVCS INC CL A	3.2%
5. BROADCOM INC	4.5%	10. WASTE MGMT INC DEL	3.2%

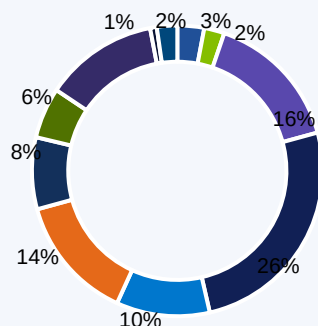
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.1%	31.54	22.22	5.15	4.52	578.40B	41.0%

Target allocations

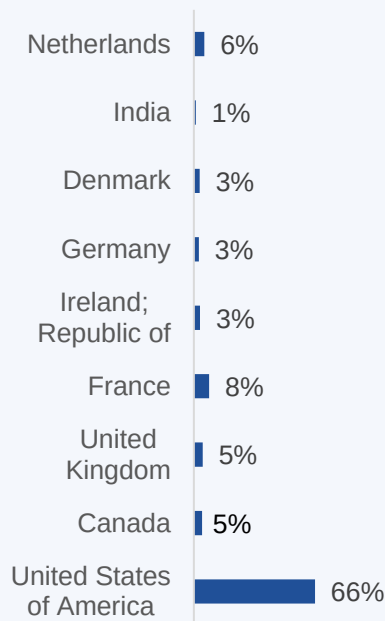


Sector breakdown



- Communication Services
- Materials
- Financials
- Information Technology
- Energy
- Industrials
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Real Estate

Geographic allocation



Quarterly commentary

Market uncertainties accelerated this quarter, with the Trump administration's abrupt and erratic rollout of new tariffs targeting America's largest trading partners. The policy shift led to downward revisions in economic growth forecasts and upward pressure on inflation expectations. Against a backdrop of rising geopolitical tensions, these factors triggered a swift market correction. High-momentum, highly valued stocks—particularly those associated with the artificial intelligence (AI) secular growth theme—bore the brunt of the downturn. Investors also shifted their focus toward European equities, supported by significant fiscal initiatives such as Germany's defense and infrastructure spending plans. Chinese markets also rallied on AI-driven advancements and targeted stimulus measures aimed at boosting domestic consumption.

The top-performing sectors were Energy, Consumer Discretionary, and Financials, all benefiting from positive allocation and selection effects. Insurance companies and Waste Management added value as they are viewed as safe havens during periods of elevated market volatility, due to their consistent cash flows. The top contributors to relative performance were Allianz, Republic Services and Axa.

Information Technology and Real Estate sectors lagged this quarter. The portfolio's underweight in both these sectors led to a positive allocation; however, negative stock selection offset those gains. Positions in Broadcom, Novo Nordisk and Equinix underperformed and detracted from relative performance. The Investment team believes that successful asset management should focus on three core pillars, which are:

1. **Growth** — In positioning the portfolio to secular drivers of dividend growth, the Manager believes consistent earnings growth is critical for predictable and sustained dividend growth. According to the Manager's proprietary AI model* forecast for earnings per share (EPS), growth rates in the US, while still positive, have decelerated. Generally, cyclical sectors appear weaker than defensive or secular growth areas of the market. Consumer Discretionary EPS growth has been declining on weaker consumer sentiment readings, and Financials are moving lower, given their sensitivity to the business cycle. Information Technology remains stable while Real Estate and Energy have moderated after moving higher through the quarter. EPS growth rates in Europe are moving counter to trends in the US. Predictions are holding up well, with growth largely coming from the cyclical sectors of the market that are benefitting from monetary stimulus and planned fiscal spending on defense and infrastructure.

In the US, dividend growth predictions are strong for Communication Services and Information Technology, although we are seeing some moderation. Financials, driven by insurance companies, are showing strong dividend growth predictions. Defensive areas of the market, where we typically find high quality yield, in Real Estate, Utilities, Energy, and Health Care are stable. In Europe, dividend growth predictions remain healthy, with little sector dispersion. In Asia, sector dispersion is high, with strong dividend growth predictions generally coming from cyclical sectors in Industrials, Information Technology, Consumer Discretionary, and Financials.

We continue to position and focus on companies with positive earnings growth coupled with strong dividend growth. We believe the Fund's portfolio is positioned for secular dividend growth. Over the past 12 months, 95% of the companies in the portfolio have increased their dividends.

2. **Payout** — Market uncertainties accelerated with the Trump administration's rollout of new tariffs. The policy shift led to downward revisions in economic growth forecasts and upward pressure on inflation expectations. The Manager believes that a diversified portfolio that includes high-quality dividend-payers with lower economic sensitivities can provide stability during periods of elevated market volatility. The Manager believes that profitability, stability and safety need to be embraced and focus the portfolio on earnings and cash flow growth supporting that dividend growth.

3. **Sustainability (of cashflows)** — In their AI Model, the Manager sees strong dividend sustainability globally. The probability of dividend cuts continues to be forecasted lower in the US, although probabilities have ticked up. In Europe and Asia, there is more dispersion between the sectors with the overall probability of dividend cuts remaining higher than in the US. On a sector level, Information Technology, Health Care, and Consumer Staples all show a lower probability of dividend cuts.

The Manager believe our AI-powered GPS style offers a total return approach through owning companies that can continue to reward shareholders through dividends, buybacks and debt reduction, ultimately combined with careful discretionary consideration of stock and sector allocations by the Manager.



GUARDIAN CAPITAL LP

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange

Investment philosophy

Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection and implementation of a disciplined approach. They utilize both a "bottom-up" and "top-down" approach for portfolio construction with primary emphasis on a "bottom-up" process.

Investment process and risk controls

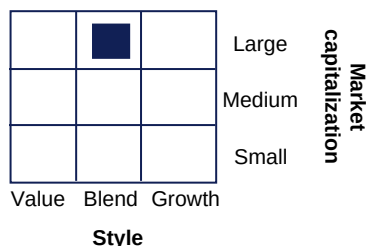
Guardian employs a proprietary and disciplined screening process that analyzes and monitors thousands of global companies. They refer to this as the GPS methodology. This methodology is designed to identify companies worthy of further review and flags those that should be sold. In a converging global market, Guardian believes a key point of differentiation is their bottom-up approach to selecting the best dividend payers within each sector, regardless of geography. GPS stands for:

- **Growth** - Dividend growth is the single biggest factor that drives investor returns in the long term.
- **Payout** - Investors reward the quality of payout, not just quantity.
- **Sustainability** - Companies must have a competitive advantage to sustain dividend growth.

Guardian's portfolio construction process utilizes a team refined approach. They do not use an optimizer to determine portfolio weights. From the Buy list portfolio managers work as a team in evaluating and discussing the merits of including a stock and its target weight in a portfolio. Position weights begin at 1% and are capped at 5%.

Their methodology looks to expose the portfolio to "pockets of strength" within global sectors while maintaining a sector-neutral positioning across the broader portfolio. Consequently, portfolio holdings within individual sectors tend to be concentrated within specific industry groups, while the broader portfolio remains well diversified across at least 7 of the 10 GICs sectors. Portfolio characteristics such as style, regional allocation and currency tilts are residuals of the stocks selection process

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is MSCI World NR Index (CAD)

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